EXECUTIVE SUMMARY

A. Introduction

The Municipality of Gonzaga, Cagayan was established as a regular municipality in 1918. It was first named as "Rumang-ay", meaning progressive, and was later renamed in honor of Graciano Gonzaga, the first Filipino Governor of Cagayan. It was found, however, that there is no record available that should show any specific law for its creation.

The audit covered the accounts and operations of the Municipality of Gonzaga for the calendar year 2020 and was aimed at determining whether management presented fairly the financial statements of the Municipality in adherence to the International Public Sector Accounting Standards (IPSASs), whether prevailing laws, rules and regulations have been complied with, and funds were utilized in the most efficient, effective and economical manner. Financial, compliance audit and performance audit were conducted to achieve these audit objectives.

B. Highlights of Financial Information

The table below shows that the Municipality's Assets, Liabilities and Government Equity as of December 31, 2020 were P609,646,764.51, P91,221,461.54 and P 518,425,302.97 with an increase in assets, liabilities and government equity of 12%, 19% and 11%, respectively, from last year's figures.

On the other hand, income earned amounted to P241,182,170.97 has increased by 11% and expenses incurred during the year amounted to P194,338,288.50 has decreased by 5% from last year's figures.

	2020	2019	Increase (Decrease)	
			Amount	Percentage
Financial Position				
Assets	609,646,764.51	545,080,779.02	64,565,985.49	12%
Liabilities	91,221,461.54	76,948,086.67	14,273,374.87	19%
Government Equity	518,425,302.97	468,132,692.35	50,292,610.62	11%
Financial Performance				
Income	241,182,170.97	217,772,319.49	23,409,851.48	11%
Expenses	194,338,288.50	205,600,289.76	(11,262,001.26)	-5%
Appropriations, Allotments and Obligations				
Appropriations-Current	261,863,595.00	252,847,226.42	9,016,368.58	4%
Appropriations-Continuing	38,532,707.35	25,781,443.81	12,751,263.54	49%
Allotments-Current	261,863,595.00	252,847,226.42	9,016,368.58	4%
Allotments-Continuing	38,532,707.35	25,781,443.81	12,751,263.54	49%
Obligations-Current	193,969,661.29	200,084,038.85	(6,114,377.56)	-3%
Obligations-Continuing	24,138,042.67	12,563,398.09	11,574,644.58	92%

C. Independent Auditor's Report on the Financial Statements

We rendered a Qualified opinion on the fairness of the following accounts (1) Property Plant and Equipment Account(PPE) amounting to P324,315,252.38 due to (a) unreconciled difference of P53,889,735.60 between the Report on Physical Count of Property, Plant and Equipment (RPCPPE) and the books of account; (b) non-conduct of the one-time cleansing procedures in its physical inventory and (c) incomplete RPCPPE and property records contrary to COA Circular 2020-006 dated January 31, 2020 and pertinent provisions of the Government Accounting Manual (GAM) for LGUs; (2) Trust Liabilities – DRRMF account amounting to P6,380,211.50 due to (a) inappropriate transfer of Continuing Appropriations of DRRMF to the Special Trust Fund resulting in a discrepancy of at least P2,715,751.23, and (b) erroneous presentation of LDRRMF in the Notes to Financial Statements contrary to the accounting and reporting guidelines prescribed under Section 5.11 and 5.1.16 of COA Circular No. 2012-002 dated September 12, 2012; (3) Cash in Local Treasury account and various Income accounts due to non-recording of unremitted revenue collections amounting to P880,845.60 and unaccounted/unpresented Accountable Forms equivalent to 221 pieces contrary to Sections 69, 104 and 107 of Presidential Decree (P.D.) 1445 and Item B of Section 60 of the Local Treasury Operations Manual.

Summary of Significant Audit Observations and Recommendations

1. The accuracy of the reported balance of Property, Plant and Equipment (PPE) account amounting to P324,315,252.38 remained unreliable as of December 31, 2020 due to (a) existence of unreconciled difference amounting to P53,889,735.60 between the Report on Physical Count of Property, Plant and Equipment (RPCPPE) and the accounting records (b) non-conduct of the one-time cleansing procedures in its physical inventory and (c) incomplete RPCPPE and property records contrary to COA Circular 2020-006 dated January 31, 2020 and pertinent provisions of the Government Accounting Manual (GAM) for LGUs thus, affecting the fair presentation of the LGU's financial statement.

   We recommended that Management:

   a. Create the Inventory Committee composed of adequate number of members to conduct physical inventory of all PPEs of the Municipality within the period prescribed under the aforementioned COA Circular;

   b. Thru the Inventory Committee created, update the property records based on the results of physical inventory, and reconcile with accounting records;

c. Undertake all other procedures prescribed under COA Circular 2020-006 dated January 31, 2020 to come up with the reconciled and correct balances of PPE accounts in the financial statements; and

d. After the inventory taking, direct the Municipal Accountant to prepare the updated ledger cards for each item of the PPE pursuant to the Section 269 of the GAM for LGUs.

2. The accuracy and reliability of the reported balance of Special Trust Fund under the Trust Liabilities – DRRMF account as of December 31, 2020 amounting to P6,380,211.50 could not be relied upon due to (1) inappropriate transfer of Continuing Appropriations of DRRMF to the Special Trust Fund resulting in a discrepancy of at least P2,715,751.23, and (2) erroneous presentation of LDRRMF in the Notes to Financial Statements contrary to the accounting and reporting guidelines prescribed under Section 5.11 and 5.1.16 of COA Circular No. 2012-002 dated September 12, 2012.

   We recommended management thru the Municipal Accountant to ensure that only the unexpended balance of QRF and the DRRMF-MOOE at the end of the year will be transferred to the Special Trust Fund Account and will be recorded under the Trust Liabilities – DRRMF account while the Continuing Appropriations/Capital Outlay of DRRMF will continue to be recorded under the General Fund books until the projects funded therefor are completed and should not be transferred to STF.

   We further recommended that the Municipal Accountant to reconcile and correct the Notes to Financial Statements by reflecting the correct balances of special trust fund by year.

3. The Municipal Treasurer did not exercise the diligence of a good father of a family in supervising the accountable officers under her supervision by not properly monitoring the accountable forms issued to them resulting in unremitted revenue collections amounting to P880,845.60 and unaccounted/unpresented Accountable Forms equivalent to 221 pieces thereby affecting the fair presentation of various Income accounts and Cash in Local Treasury account contrary to Sections 69, 104 and 107 of Presidential Decree (P.D.) 1445 and Item B of Section 60 of the Local Treasury Operations Manual.

   We recommended management thru the Local Chief Executive the following:

   a. Exhaust all possible efforts for the immediate settlement of all their unremitted collections including the proper accounting of the 221 pieces of missing/unaccounted AFs. Otherwise, appropriate charges may be imposed for failure to render accounts;

   b. Instruct the Municipal Treasurer and the concerned accountable officers to retrieve the triplicate copies of the accountable forms - AF51 with Serial Nos.

(1) 7095351 to 7095400; (2) 7628901 to 7628950; (3) 8271901 to 8271950; (4) 8626538 to 8626550; and (5) 8885071 to 8885100 which were claimed to have been remitted to the former Liquidating Officer in order to determine the amount pertaining to the said accountable forms;

c. Initiate the filing of appropriate charges against the defaulting accountable/responsible persons;

d. Instruct the Municipal Treasurer exercise the diligence of a good father of a family in supervising accountable officers under her control as well as accountable forms and reports to prevent the incurrence of loss of government funds and property in pursuance of Section 69, 104 and 107 of P.D. 1445 and Item B of Section 60 of the Local Treasury Operations Manual to avoid becoming jointly and severally liable together with the erring collectors and collecting clerks designated as collectors.

D. Summary of Total Suspensions, Disallowances and Charges

There were no issuances or settlement of Audit Suspension, Disallowances and Charges issued as at December 31, 2020.

E. Status of Implementation of Prior Year's Audit Recommendations

Out of the twenty (20) audit recommendations embodied in the prior years' audit report, ten (10) were fully implemented, eight (8) were partially implemented and two (2) were not implemented as of December 31, 2020.